

That the reason why the Court refused granting a third trial in the case of *Metcalf and Hall* was because the plaintiff had proved his debt under a commission of bankrupt, which had issued against the drawees of the bill between the time of the verdict and the motion for a new trial.

Rule absolute (a).

[172] *MACBEATH against HALDIMAND*. Wednesday, May 10th, 1786. An officer appointed by Government, treating as an agent for the public, is not liable to be sued upon contracts made by him in that capacity.

[Referred to, *Thomas v. Reg.*, 1874, L. R. 10 Q. B. 43; *Grant v. Secretary of State for India*, 1877, 2 C. P. D. 461; *Palmer v. Hutchinson*, 1881, 6 App. Cas. 626; *Dunn v. Macdonald* [1897], 1 Q. B. 404.]

This was an action upon promises against the defendant, as agent, for work and labour, &c.

Plea—the general issue.

The cause was tried at the sittings after last Hilary term before Buller, Justice, when a verdict was found for the defendant by the direction of the Judge.

Upon a motion for a new trial by Cowper, the following facts appeared from the report;

In the year 1779 the defendant, being Governor of Quebec, appointed Captain Sinclair to the command of a fort called Michilimakinac, situated upon the Lake Huron, in the province of Canada.

On the 17th August 1779, the defendant transmitted certain instructions to Sinclair respecting the government of the fort, in which he said,

“You are to pay great attention to the Indians resorting to Michilimakinac, or furnished with necessaries from thence. Endeavour to preserve them in good humour; and attach them by every means in your power to the King’s interest.”

In a further part of the same instructions, he added,

“You will draw bills of exchange for defraying the contingencies incident to that post in the manner practised by Major De Peyster, (an officer on whom that command had been before conferred,) taking care to moderate and reduce those expenses, as far as can be done without injuring the King’s service.”

For some time Sinclair employed one Grant to distribute presents among the Indians, and to procure military stores, &c. for the use of the garrison; and, to defray these and other expenses, drew bills of exchange upon the governor, according to his instructions. When these accounts came to the defendant, he made objections to several of the articles as unnecessary and exorbitant; and soon after recommended the plaintiff to Sinclair by a letter dated the 16th May 1782, of which the following is an extract;

“Upon an examination of the accounts accompanying your late draughts, for expenses incurred at Michilimakinac, the [173] articles are in general charged at prices exceeding all bounds of moderation.

“Upon the comparison of the prices made here, the advantage taken of the necessities of the Crown by the traders at Michilimakinac is shamefully obvious; and it is more so in the account of Mr. Grant, who appears to be an agent for Government, than in any other particular.

“Persuaded that you have supplied your wants from those traders in whom you have had the greatest reason to confide, I find there is but little to be expected from any of them residing at that post; which induced me to make inquiry if any person could be found here more worthy of the public confidence. A Mr. Macbeath, who will deliver this letter, and who has just made application for a pass, was mentioned to me as a man of known and established integrity; and, upon a more particular inquiry, I find that he has always, both here and in the upper country, merited that character. I have proposed to him to supply the Crown with such quantities of Indian corn and grease as may be wanted for the necessary purposes at that post:

(a) On the third trial a special verdict was found, containing the same facts, on which the Court gave judgment for the defendant; and that judgment was afterwards unanimously affirmed in the Exchequer Chamber. Post, 2 vol. 186.

and likewise all other articles which shall occasionally be wanted in the engineer department, which he has undertaken to do for 10l. per cent. on the market prices at the place (costs and charges); a profit which appears to be reasonable, inasmuch as it is greatly under that hitherto charged."

(After some orders given relative to the plaintiff.)

"These instructions, and all others that concern the interest of the Crown, I am persuaded that you will cheerfully give him."

A letter from the defendant to the plaintiff, dated May 17th, 1782;

"Having thought it fit to direct Lieutenant-Governor Sinclair, commanding the post of Michilimakinac, to employ you in supplying such quantities of corn and grease, and all other articles, as shall be wanted for the use of the Crown at that post, in consequence of your offer to furnish the same at the rate of 10l. per cent. on the costs and charges here and to Michilimakinac, for all articles (corn and grease excepted), and these at the same rate where they shall be purchased, for which sufficient vouchers are to accompany your accounts, you are therefore hereby directed to make applications from time to time to Lieutenant-Governor Sinclair for such direc-[174]-tions, information, and assistance, as will best enable you to execute that business to the greatest advantage for the public interest, as your continuing in this employ will entirely depend upon your conduct therein."

Several special orders were proved from Sinclair to the plaintiff for supplying particular articles, amongst which was the following, dated 1st of August 1782;

"You will be pleased for the future, without any requisitions in form, to provide for the different services of the post, in the manner least expensive to Government, and still equal to the necessities of the different departments."

In pursuance of these orders the plaintiff furnished articles to a considerable amount. But when his bills, at the top of which was prefixed "Government debtor to George Macbeath for sundries paid by order of Lieutenant-Governor Sinclair," were sent to the defendant at Quebec, he made objections to several of the articles as being unreasonable, and furnished contrary to subsequent instructions.

Afterwards, on the 2d of July 1784, Mathews (the defendant's secretary) wrote the following letter to Messrs. Dobie and Forsyth, who were agents for the bill-holders;

"I am commanded by his Excellency General Haldimand to acquaint you, that, in consequence of instructions from the Lords Commissioners of His Majesty's Treasury, in answer to a representation made by him to their Lordships, concerning the bills drawn upon him by Lieutenant-Governor Sinclair in the year 1782, which he thought it necessary to refuse payment of, his Excellency, in conformity with the offer which he made to the holders of the said bills in the year 1782, is still willing to pay such parts of the charges, for which the said bills were drawn, as at that time appeared upon examination to be reasonable."

(After stating the amount of goods furnished for the engineer department to the value of 9266l. 5s. 1½d. which the governor was willing to pay, the letter proceeded thus,)

"His Excellency will also pay for all the goods or utensils furnished for the engineer department, so far as they shall appear to be charged at reasonable prices, to be ascertained by merchants appointed for that purpose by his Excellency and the holders of the bills. And he will further pay for the labour, so far as the accounts thereof shall appear to be proper-[175]-ly vouched. But with regard to the charges for the hire of horses and carts, his Excellency, from the exorbitance of the charge, will have nothing to do therewith, leaving nevertheless to the complainants to take such methods to procure redress therein, as they shall think proper.

"With respect to the Indian department, his Excellency will pay such part of the articles as compose the accounts, for which the bills were drawn, as were not purchased contrary to his orders to Lieutenant-Governor Sinclair dated 22d August 1781, and except also for the articles furnished by Lieutenant-Governor Sinclair himself, which his Excellency will not pay, as they were received from the Indians, in expectation of being well repaid by the presents, which they afterwards received from the King's stores."

(The letter then stated the account of Indian expenses amounting to 12,715l. 9s. 10d. and concluding by saying,)

"You will therefore see by the foregoing statement, that the sum proposed by

his Excellency General Haldimand to be immediately paid, amounts to 21,981l. 14s. 11½d. New York currency."

The bills which Sinclair drew in favour of the plaintiff were drawn on the defendant as governor and commander in chief.

The plaintiff finding that all these bills drawn by Sinclair, and indorsed by himself, which were to a much greater amount than the above-mentioned sum, would not be accepted by the defendant, received a partial payment from him, with a proviso, that it should not prejudice his claim for the remainder; to recover which was the object of the present action.

The plaintiff remained in his post till 1785.

It was acknowledged at the trial, and in Court, that all the accounts had been submitted to a board of officers by the defendant, for them to examine and report what charges ought to be allowed, and that the sum adjudged by them to be due, which fell very short of the plaintiff's demand, had been paid by the Treasury.

Buller, Justice, after reporting the above facts, said, that he had been of opinion at the trial, that, the goods in question having been supplied for the use of Government, and the defendant not having personally undertaken to pay, the plaintiff ought to be nonsuited. That it appeared to him that the plaintiff had acted with the defendant solely in the character of commander in chief, considering him as the agent of Government. [176] That all the letters imported it to be a transaction on the part of Government: and that the accounts confirmed it. But the plaintiff's counsel appearing for their client when he was called (a), he left the question to the jury, telling them that they were bound to find for the defendant in point of law. And upon their asking him whether, in the event of the defendant's not being liable, any other person was, he told them that was no part of their consideration: but, being willing to give them any information, he added, that he was of opinion that, if the plaintiff's demand were just, his proper remedy was by a petition of right to the Crown. On which they found a verdict for the defendant.

The rule for granting a new trial was moved for on the misdirection of the Judge upon two points.

1st, that the defendant had by his own conduct made himself personally liable, which question should have been left to the jury.

2dly, that the plaintiff had no remedy against the Crown by a petition of right, on the supposition of which the jury had been induced to give their verdict.

Lord Mansfield, Ch.J.—Now declared, that the Court did not feel it necessary for them to give any opinion on the second ground.

His Lordship said, that great difference had arisen since the Revolution, with respect to the expenditure of the public money. Before that period, all the public supplies were given to the King, who in his individual capacity contracted for all expenses. He alone had the disposition of the public money. But since that time, the supplies have been appropriated by Parliament to particular purposes, and now whoever advances money for the public service trusts to the faith of Parliament.

That according to the tenor of Lord Somers's argument (b) in *The Banker's case*, though a petition of right would lie, yet it would probably produce no effect. No benefit was ever derived from it in *The Banker's case*; and Parliament was afterwards obliged to provide a particular fund towards the payment of those debts (c). Whether however this alteration in the mode of distributing the [177] supplies had made any difference in the law upon this subject, it was unnecessary to determine; at any rate, if there were a recovery against the Crown, application must be made to Parliament, and it would come under the head of supplies for the year.

Bearcroft and Bower shewed cause.

They allowed that a person, acting in a public situation under Government, might by his own conduct make himself personally liable for contracts, for which, from the nature of his office, he would not otherwise be answerable. But the plaintiff

(a) Vid. *Watkins v. Towers*, post, 2 vol. 281.

(b) Vid. 11 State Trials, 159.

(c) The Stat. 12 & 13 W. 3, c. 12, § 15, provides, that in lieu of the annuities granted to the bankers and all arrears, the hereditary excise shall, after the 26 December 1701, be charged with annual sums equal to an interest of 3 per cent. till redeemed by payment of one moiety of the principal sums.

should make out a very strong case, in order to induce the Court to believe that such was the agreement. As if a person, residing at a distance abroad, absolutely refused to treat with the Government, but chose rather to rely upon the personal security of the governor, who was upon the spot, and who was willing to treat upon those conditions. But, they contended in this case that the defendant had acted avowedly as the agent of Government, and did not intend to make himself personally responsible.

But considering this even as a common transaction between private parties, apart from public considerations, which would weigh in this case; the plain question would be, to whom was the credit given? It appears upon the face of it not to have been given to the defendant. The goods furnished were not for his use, and so the plaintiff knew. The defendant's letter to the plaintiff, when he was appointed to the post, expressly mentions that they were for the use of the Crown. The orders given by the defendant were in the quality of governor, and therefore the plaintiff must be taken to have contracted with Government. It is no answer to say, that the bills were drawn on the defendant, for that is the common course of business: and the letter from Mathews, the defendant's secretary, speaks of an application to the Treasury, which shews that it could not be considered as a personal demand on the defendant.

Supposing the defendant in the situation of a private steward, if it be notorious that the orders are given by him for his employer, and that he acts merely in the capacity of an agent, that is sufficient to shew the nature of the transaction, and to whom the credit has really been given.

In ordinary dealings, where it is a matter of doubt to whom the credit has been given, the question has frequently been decided by having recourse to the creditor's books, or by producing [178] his bills, and seeing whom he himself has debited. In this instance the plaintiff has debited Government.

Another circumstance is here disclosed, which decides as to whom the plaintiff gave the credit; for he first applied for payment to the Treasury, and on their refusal had recourse to the defendant, which manifestly proves that he considered Government as his debtor.

They then mentioned the case of *General Burgoyne*, against whom a bill was filed in Chancery for a specific performance of a contract for the supply of artillery carriages in America. Lord Thurlow, Chancellor, said, that there was no colour for the demand as against the defendant, who acted only as an agent for Government, and dismissed the bill with costs. His Lordship also made the same observation which the learned Judge made in this cause, that the plaintiff had his remedy against the Crown by petition of right.

Cowper, Law, and Adam, in support of the rule, contended that the evidence which was produced at the trial was such as ought to have been left to the jury to determine, whether the defendant had not made himself personally liable.

In general, a commanding officer is not answerable for stores and other articles furnished notoriously for the use of Government, but there is no doubt that he may become so by his own conduct. Here the plaintiff was directed by the defendant to obey the orders of Lieutenant-Governor Sinclair. Every article which he furnished was in obedience to Sinclair's commands; and Sinclair himself was instructed to draw bills for the payment of those articles, not on the Government, or on any official paymaster, which would have afforded a strong presumption in discharge of the defendant's liability, but his orders were to draw on the defendant himself.

The partial payment, which was afterwards made, was under the special directions of the defendant, who, throughout the whole transaction, exercised his own discretion as to which part of the charges should be allowed, or rejected. The defendant's own conduct therefore has made him personally liable.

Distance of place and situation might also have been a reason with the plaintiff for giving the defendant personal credit; for the parties being removed so far from the seat of Government at [179] home, there was no other person to whom the plaintiff would so naturally look for payment as the defendant himself.

The production of the letters at the trial was an additional reason for leaving the question to the jury, whose province it was to determine the import of them.

In an action brought against General Burgoyne to recover a sum of money due to the plaintiff as provost marshal, the defendant having promised that he should be paid at the same rate as the provost marshal under General Howe had been, a similar

objection to the present was started on the trial by Lee against the legality of the action, but Lord Mansfield refused to non-suit the plaintiff; upon which he went into his case, and it afterwards appeared in the course of the enquiry that the plaintiff's demand had been satisfied. From this it is evident that his Lordship thought that a commanding officer might make himself liable, and that whether he had, or not, was a proper subject for the enquiry of a jury.

Taking this to be the case of a factor residing abroad, who transacts business for his principal in England; if the former had undertaken in the same manner that the defendant has done in this case, he would have made himself personally liable, since they may both be bound.

Supposing that the articles furnished were for the use of Government, that will not vary the question. A master of a ship who contracts for necessaries for the use of the ship is personally liable, though he be known at the time not to be the owner (a). At all events, if there be any difference between this case and that of agent and principal to which the present is likened, yet every agent who personally undertakes cannot dispute his liability.

The whole question therefore should have been left to the jury, whose conduct proved that they entertained doubts upon it, till they were informed that the plaintiff had his remedy against the Crown.

But if there be no remedy in the form of a petition of right against the Crown, on account of the appropriation of the supplies since the Revolution, and the public is to be considered as the real debtor, then there was no other person, against whom this demand could so properly be urged, as against the defend-[180]-ant, who represented and acted as ostensible agent for the public in this transaction.

Lord Mansfield, Ch.J.—The only question before the Court is, whether the defendant be liable or not in this action? If he be, the plaintiff must recover; if not, no consideration respecting the plaintiff's remedy against any other party can induce the Court to make him so.

There is no colour to say that he is liable in his character of commander-in-chief.

In a late case which was tried before me, where one Savage brought an action against Lord North, as first Lord of the Treasury, in order that he might be reimbursed the expenses which he had incurred in raising a regiment for the service of Government, I held that the action did not lie.

So in another case of *Lutterloh* against *Halsey*, which was an action brought against the defendant, who was a commissary, for the supply of forage for the Army, and by whom the plaintiff had been employed in that service, the commissary was held not liable.

In the present case it was notorious that the defendant did not personally contract; the plaintiff knew, at the time that he furnished the stores, that they were for the use of Government; and he afterwards made Government debtor in his bills.

But it has been urged that the defendant made himself liable after the debt was contracted. In my opinion there is no ground for such an argument: the evidence does not warrant it.

Then it was objected, that whether the defendant had made himself liable or not was a question which ought to have been left to the jury to decide. But there was no evidence which was proper for their consideration; for the evidence consisting altogether of written documents and letters which were not denied, the import of them was matter of law and not of fact. Therefore I am of opinion that the verdict should stand.

Willes, J. I think, under all the circumstances of the present case, that the defendant is not personally liable. The goods were furnished for the use of the Crown; Government [181] was made debtor; and all the letters speak of the transaction as having been considered in that light. Then if the defendant were liable, his person and property would be subject to an execution, and he must afterwards apply to Government for a reimbursement, which would be no satisfaction to him for the inconvenience he had been put to.

The letter from the defendant's secretary shews that what he did was under the direction of Government, and that the fund, out of which the plaintiff was to be paid,